The reinsurance company, General Insurance Company (GIC), is owned by the government. Despite its near monopoly business, it is making losses for quite a few quarters now. To compete with global reinsurance companies, which are taking away Indian reinsurance business, GIC needs nimbleness, deep financial pockets and the ability of a private reinsurance company. It is time to privatize GIC as well.

LIC is doing a decent job and is able to hold its ground by improving its technology and services. Being a government-owned entity, it also enjoys a higher degree of implicit trust among people about the safety of their long-term savings. A lot of the government's wealth is locked in LIC. It should be transferred to a sovereign asset management company and its value gradually unlocked. The decision taken by the government to disinvest about 10 per cent of the equity of LIC and list it should definitely be carried out; the transfer to a sovereign asset management company can take place thereafter.

For much of the history of business in India, business families have provided equity for their ventures. As most entrepreneurs lacked equity, including established family businesses many a time, businesses were either forced to borrow or launder bank loans as equity. The stock exchanges in India have also singularly failed to help enterprises raise greenfield equity.

Private equity is now emerging as a major financing source. There are a lot of savings in the world, and in India, which, if properly developed, can provide valuable equity to businesses, including start-ups and ventures. SEBI regulates private equity too rigidly. A more conducive regulatory regime to allow high-net-worth individuals to participate in private equity ventures would help address the equity deficit. The country also needs to adopt a more liberal attitude towards private equity and venture capital funding from abroad—not only is there a much larger pool of savings out there, these equity funds can also bring cutting-edge technology to India.